

F. A. HAYEK

AUTHOR OF *THE ROAD TO SERFDOM*

The Definitive Edition

THE CONSTITUTION OF



THE COLLECTED WORKS OF

F. A. Hayek

VOLUME XVII

THE CONSTITUTION OF
LIBERTY

The Definitive Edition

RONALD HAMOWY is professor of history emeritus at the University of Alberta and affiliate professor of economics at George Mason University. He is a fellow in social thought at the Cato Institute and has written numerous articles and books on social theory, including *The Scottish Enlightenment and Spontaneous Order* and *The Political Sociology of Freedom: Adam Ferguson and F. A. Hayek*. He is the editor of the Liberty Press edition of *Cato's Letters*.

The University of Chicago Press, Chicago 60637
The University of Chicago Press, Ltd., London
© 1960, 2011 by the University of Chicago
All rights reserved. Published 2011
Printed in the United States of America

20 19 18 17 16 15 14 13 12 11 1 2 3 4 5

ISBN-13: 978-0-226-31537-9 (cloth)
ISBN-13: 978-0-226-31539-3 (paper)
ISBN-10: 0-226-31537-1 (cloth)
ISBN-10: 0-226-31539-8 (paper)

Library of Congress Cataloging-in-Publication Data

Hayek, Friedrich A. von (Friedrich August), 1899–1992.

The constitution of liberty : the definitive edition / edited by Ronald Hamowy.

p. cm. — (The collected works of F. A. Hayek ; v. 17)

ISBN-13: 978-0-226-31537-9 (cloth : alk. paper)

ISBN-10: 0-226-31537-1 (cloth : alk. paper)

ISBN-13: 978-0-226-31539-3 (pbk. : alk. paper)

ISBN-10: 0-226-31539-8 (pbk. : alk. paper) 1. Liberty. 2. Rule of law.

3. Social policy. I. Hamowy, Ronald, 1937– II. Title. III. Series: Hayek, Friedrich A. von (Friedrich August), 1899–1992. Works. 1989 ; v. 17.

HB171 .H426 1989 vol. 17

[JC585.H29]

320.01'1—dc22

2010020835

© The paper used in this publication meets the minimum requirements of the American National Standard for Information Sciences—
Permanence of Paper for Printed Library Materials, ANSI Z39.48-1992.

CONTENTS

Editorial Foreword	xi
Introductory Essay	1
<i>The Constitution of Liberty</i> : Editions and Translations	23
A Note on the Notes	26
Editor's Acknowledgments	28
Liberty Fund Editions Cited	30

THE CONSTITUTION OF LIBERTY

Preface	39
Acknowledgments	41
Bibliographical Abbreviations	44
Introduction	47

PART I. The Value of Freedom

One	Liberty and Liberties	57
Two	The Creative Powers of a Free Civilization	73
Three	The Common Sense of Progress	91

CONTENTS

Four	Freedom, Reason, and Tradition	107
Five	Responsibility and Freedom	133
Six	Equality, Value, and Merit	148
Seven	Majority Rule	166
Eight	Employment and Independence	184

PART II. Freedom and the Law

Nine	Coercion and the State	199
Ten	Law, Commands, and Order	215
Eleven	The Origins of the Rule of Law	232
Twelve	The American Contribution: Constitutionalism	261
Thirteen	Liberalism and Administration: The <i>Rechtsstaat</i>	287
Fourteen	The Safeguards of Individual Liberty	308
Fifteen	Economic Policy and the Rule of Law	329
Sixteen	The Decline of the Law	342

PART III. Freedom in the Welfare State

Seventeen	The Decline of Socialism and the Rise of the Welfare State	369
Eighteen	Labor Unions and Employment	384
Nineteen	Social Security	405
Twenty	Taxation and Redistribution	430
Twenty-one	The Monetary Framework	451

CONTENTS

Twenty-two	Housing and Town Planning	466
Twenty-three	Agriculture and Natural Resources	482
Twenty-four	Education and Research	498

POSTSCRIPT

Postscript: Why I Am Not a Conservative	519
Analytical Table of Contents	535
Index of Authors Cited	543
Index of Subjects	557

THE CREATIVE POWERS OF A FREE CIVILIZATION

Civilization advances by extending the number of important operations which we can perform without thinking about them. Operations of thought are like cavalry charges in a battle—they are strictly limited in number, they require fresh horses, and must only be made at decisive moments.

—A. N. Whitehead

1. The Socratic maxim that the recognition of our ignorance is the beginning of wisdom has profound significance for our understanding of society. The first requisite for this is that we become aware of men's necessary ignorance of much that helps him to achieve his aims. Most of the advantages of social life, especially in its more advanced forms which we call "civilization," rest on the fact that the individual benefits from more knowledge than he is aware of. It might be said that civilization begins when the individual in the pursuit of his ends can make use of more knowledge than he has himself acquired and when he can transcend the boundaries of his ignorance by profiting from knowledge he does not himself possess.

This fundamental fact of man's unavoidable ignorance of much on which the working of civilization rests has received little attention. Philosophers and students of society have generally glossed it over and treated this ignorance as a minor imperfection which could be more or less disregarded. But, though discussions of moral or social problems based on the assumption of perfect knowledge may occasionally be useful as a preliminary exercise in logic, they are of little use in an attempt to explain the real world. Its problems are dominated by the "practical difficulty" that our knowledge is, in fact, very far from perfect. Perhaps it is only natural that the scientists tend to stress what we do know; but in the social field, where what we do not know is often so much more important, the effect of this tendency may be very misleading. Many

The quotation at the head of the chapter is taken from Alfred North Whitehead, *An Introduction to Mathematics* (London: Williams and Norgate, 1911), p. 61. An earlier version of this chapter appeared as "The Creative Powers of a Free Civilization," in *Essays on Individuality*, Felix Morley, ed. (Philadelphia: University of Pennsylvania Press, 1958), pp. 183–204 [Liberty Fund edition, pp. 261–89].

of the utopian constructions are worthless because they follow the lead of the theorists in assuming that we have perfect knowledge.

It must be admitted, however, that our ignorance is a peculiarly difficult subject to discuss. It might at first even seem impossible by definition to talk sense about it. We certainly cannot discuss intelligently something about which we know nothing. We must at least be able to state the questions even if we do not know the answers. This requires some genuine knowledge of the kind of world we are discussing. If we are to understand how society works, we must attempt to define the general nature and range of our ignorance concerning it. Though we cannot see in the dark, we must be able to trace the limits of the dark areas.

The misleading effect of the usual approach stands out clearly if we examine the significance of the assertion that man has created his civilization and that he therefore can also change its institutions as he pleases. This assertion would be justified only if man had deliberately created civilization in full understanding of what he was doing or if he at least clearly knew how it was being maintained. In a sense it is true, of course, that man has made his civilization. It is the product of his actions or, rather, of the action of a few hundred generations. This does not mean, however, that civilization is the product of human design, or even that man knows what its functioning or continued existence depends upon.¹

The whole conception of man already endowed with a mind capable of conceiving civilization setting out to create it is fundamentally false. Man did not simply impose upon the world a pattern created by his mind. His mind is itself a system that constantly changes as a result of his endeavor to adapt himself to his surroundings. It would be an error to believe that, to achieve a higher civilization, we have merely to put into effect the ideas now guiding us. If we are to advance, we must leave room for a continuous revision of our present conceptions and ideals which will be necessitated by further experience. We are as little able to conceive what civilization will be, or can be, five hundred or even fifty years hence as our medieval forefathers or even our grandparents were able to foresee our manner of life today.²

¹ Cf. Adam Ferguson, *An Essay on the History of Civil Society* (Edinburgh: Printed for A. Millar and T. Cadell in the Strand, and A. Kincaid and J. Bell, Edinburgh, 1767), p. 279: "The artifices of the beaver, the ant, and the bee, are ascribed to the wisdom of nature. Those of polished nations are ascribed to themselves, and are supposed to indicate a capacity superior to that of rude minds. But the establishments of men, like those of every animal, are suggested by nature, and are the result of instinct, directed by the variety of situations in which mankind are placed. Those establishments arose from successive improvements that were made, without any sense of their general effect; and they bring human affairs to a state of complication, which the greatest reach of capacity with which human nature was ever adorned, could not have projected; nor even when the whole is carried into execution, can it be comprehended in its full extent."

² Cf. Michael Polanyi, *The Logic of Liberty: Reflections and Rejoinders* (London: Routledge and Kegan Paul, 1951), p. 199 [Liberty Fund edition, p. 245]: "The conceptions by the light of

The conception of man deliberately building his civilization stems from an erroneous intellectualism that regards human reason as something standing outside nature and possessed of knowledge and reasoning capacity independent of experience. But the growth of the human mind is part of the growth of civilization; it is the state of civilization at any given moment that determines the scope and the possibilities of human ends and values. The mind can never foresee its own advance. Though we must always strive for the achievement of our present aims, we must also leave room for new experiences and future events to decide which of these aims will be achieved.

It may be an exaggeration to assert, as a modern anthropologist has done, that "it is not man who controls culture but the other way around"; but it is useful to be reminded by him that "it is only our profound and comprehensive ignorance of the nature of culture that makes it possible for us to believe that we direct and control it."³ He suggests at least an important corrective to the intellectualist conception. His reminder will help us to achieve a truer image of the incessant interaction between our conscious striving for what our intellect pictures as achievable and the operations of the institutions, traditions, and habits which jointly often produce something very different from what we have aimed at.

There are two important respects in which the conscious knowledge which guides the individual's actions constitutes only part of the conditions which enable him to achieve his ends. There is the fact that man's mind is itself a product of the civilization in which he has grown up and that it is unaware of much of the experience which has shaped it—experience that assists it by being embodied in the habits, conventions, language, and moral beliefs which are part of its makeup. Then there is the further consideration that the knowledge which any individual mind consciously manipulates is only a small part of the knowledge which at any one time contributes to the success of his action. When we reflect how much knowledge possessed by other people is an essential condition for the successful pursuit of our individual aims, the magnitude of our ignorance of the circumstances on which the results of our action depend appears simply staggering. Knowledge exists only as the knowledge of individuals. It is not much better than a metaphor to speak of the knowledge of society as a whole. The sum of the knowledge of all the individuals exists nowhere as an integrated whole. The great problem is how we can

which men will judge our own ideas in a thousand years—or perhaps even in fifty years—are beyond our guess. If a library of the year 3000 came into our hands to-day, we could not understand its contents. How should we consciously determine a future which is, by its very nature, beyond our comprehension? Such presumption reveals only the narrowness of an outlook uninformed by humility."

³Leslie Alvin White, "Man's Control over Civilization: An Anthropocentric Illusion," *Scientific Monthly*, 66 (1948): 238; also his *The Science of Culture: A Study of Man and Civilization* (New York: Farrar, Straus, and Co., 1949), pp. 337 and 342.

all profit from this knowledge, which exists only dispersed as the separate, partial, and sometimes conflicting beliefs of all men.

In other words, it is largely because civilization enables us constantly to profit from knowledge which we individually do not possess and because each individual's use of his particular knowledge may serve to assist others unknown to him in achieving their ends that men as members of civilized society can pursue their individual ends so much more successfully than they could alone. We know little of the particular facts to which the whole of social activity continuously adjusts itself in order to provide what we have learned to expect. We know even less of the forces which bring about this adjustment by appropriately co-ordinating individual activity. And our attitude, when we discover how little we know of what makes us co-operate, is, on the whole, one of resentment rather than of wonder or curiosity. Much of our occasional impetuous desire to smash the whole entangling machinery of civilization is due to this inability of man to understand what he is doing.

2. The identification of the growth of civilization with the growth of knowledge would be very misleading, however, if by "knowledge" we meant only the conscious, explicit knowledge of individuals, the knowledge which enables us to state that this or that is so-and-so.⁴ Still less can this knowledge be confined to scientific knowledge. It is important for the understanding of our argument later to remember that, contrary to one fashionable view,⁵ scientific knowledge does not exhaust even all the explicit and conscious knowledge of which society makes constant use. The scientific methods of the search for knowledge are not capable of satisfying all society's needs for explicit knowledge. Not all the knowledge of the ever changing particular facts that man continually uses lends itself to organization or systematic exposition; much of it exists only dispersed among countless individuals. The same applies to that important part of expert knowledge which is not substantive knowledge but merely knowledge of where and how to find the needed information.⁶ For

⁴ See Gilbert Ryle, "Knowing How and Knowing That," [The Presidential Address] *Proceedings of the Aristotelian Society*, n.s., 46 (1946): 1–16; and now compare also Michael Polanyi, *Personal Knowledge: Towards a Post-critical Philosophy* (Chicago: University of Chicago Press, 1958).

⁵ Cf. the often quoted observation by Frank Plumpton Ramsey, *The Foundations of Mathematics and Other Logical Essays* (London: Routledge and Kegan Paul, 1931), p. 287: "There is nothing to know except science." [The statement does not appear in *The Foundations of Mathematics*, as Hayek indicates, but in the Epilogue to Ramsey's collected essays, of which *The Foundations* is the central article and which gives its name to the anthology.—Ed.]

⁶ On these different kinds of knowledge see my article "Über den 'Sinn' sozialer Institutionen" [On the Meaning of Social Institutions], *Schweizer Monatshefte*, October 1956, pp. 512–24, and, on the application of the whole argument of this chapter to the more specifically economic problems, the two essays on "Economics and Knowledge" and "The Use of Knowledge in Society" reprinted in my *Individualism and Economic Order* (Chicago: University of Chicago Press, 1948), pp. 33–56 and 77–91. See also Samuel Johnson's remark: "Knowledge is of two kinds: we know

our present purpose, however, it is not this distinction between different kinds of rational knowledge that is most important, and when we speak of explicit knowledge, we shall group these different kinds together.

The growth of knowledge and the growth of civilization are the same only if we interpret knowledge to include all the human adaptations to environment in which past experience has been incorporated. Not all knowledge in this sense is part of our intellect, nor is our intellect the whole of our knowledge. Our habits and skills, our emotional attitudes, our tools, and our institutions—all are in this sense adaptations to past experience which have grown up by selective elimination of less suitable conduct. They are as much an indispensable foundation of successful action as is our conscious knowledge. Not all these non-rational factors underlying our action are always conducive to success. Some may be retained long after they have outlived their usefulness and even when they have become more an obstacle than a help. Nevertheless, we could not do without them: even the successful employment of our intellect itself rests on their constant use.

Man prides himself on the increase in his knowledge. But, as a result of what he himself has created, the limitations of his conscious knowledge and therefore the range of ignorance significant for his conscious action have constantly increased. Ever since the beginning of modern science, the best minds have recognized that “the range of acknowledged ignorance will grow with the advance of science.”⁷ Unfortunately, the popular effect of this sci-

a subject ourselves or we know where we can find information upon it.” (James Boswell, *The Life of Samuel Johnson, LL.D.: Comprehending an Account of His Studies and Numerous Works* [3 vols.; 2nd ed., rev. and aug.; London: Printed by Henry Baldwin, 1793], vol. 2, pp. 237–38).

⁷ Giorgio de Santillana, *The Crime of Galileo* (Chicago: University of Chicago Press, 1955), pp. 34–35. Herbert Spencer also remarks somewhere: “In science the more we know, the more extensive the contact with nescience.” [The quotation, as Hayek has it, is somewhat different from that written by Spencer. The wording as quoted by Hayek, in fact comes from the article on Herbert Spencer in the eleventh edition of the *Encyclopedia Britannica* (New York: The Encyclopedia Britannica Co., 1911) s.v. “Spencer, Herbert” by Ferdinand Canning Scott Schiller. Spencer’s actual wording reads: “Regarding Science as a gradually increasing sphere, we may say that every addition to its surface does but bring it into wider contact with surrounding nescience.” (*First Principles* [London: Williams and Norgate, 1862], pp. 16–17.)—Ed.]. See also Sir Karl Raimund Popper, “On the Sources of Knowledge and Ignorance,” *Proceedings of the British Academy*, 46 (1960): 69: “The more we learn about the world, and the deeper our learning, the more conscious, specific, and articulate will be our knowledge of what we do not know, our knowledge of our ignorance”; and Warren Weaver, “A Scientist Ponders Faith,” *Saturday Review*, 3 (January 1959): 9: “[i]s science really gaining in its assault on the totality of the unsolved? As science learns one answer, it is characteristically true that it also learns several new questions. It is as though science were working in a great forest of ignorance, making an ever larger circular clearing within which, not to insist on the pun, things are clear . . . But as that circle becomes larger and larger, the circumference of contact with ignorance also gets longer and longer. Science learns more and more. But there is an ultimate sense in which it does not gain; for the volume of the appreciated but not understood keeps getting larger. We keep, in science, getting a more and more sophisticated view of our essential ignorance.”

tific advance has been a belief, seemingly shared by many scientists, that the range of our ignorance is steadily diminishing and that we can therefore aim at more comprehensive and deliberate control of all human activities. It is for this reason that those intoxicated by the advance of knowledge so often become the enemies of freedom. While the growth of our knowledge of nature constantly discloses new realms of ignorance, the increasing complexity of the civilization which this knowledge enables us to build presents new obstacles to the intellectual comprehension of the world around us. The more men know, the smaller the share of all that knowledge becomes that any one mind can absorb. The more civilized we become, the more relatively ignorant must each individual be of the facts on which the working of his civilization depends. The very division of knowledge increases the necessary ignorance of the individual of most of this knowledge.

3. When we spoke of the transmission and communication of knowledge, we meant to refer to the two aspects of the process of civilization which we have already distinguished: the transmission in time of our accumulated stock of knowledge and the communication among contemporaries of information on which they base their action. They cannot be sharply separated because the tools of communication between contemporaries are part of the cultural heritage which man constantly uses in the pursuit of his ends.

We are most familiar with this process of accumulation and transmission of knowledge in the field of science—so far as it shows both the general laws of nature and the concrete features of the world in which we live. But, although this is the most conspicuous part of our inherited stock of knowledge and the chief part of what we necessarily know, in the ordinary sense of “knowing,” it is still only a part; for, besides this, we command many tools—in the widest sense of that word—which the human race has evolved and which enable us to deal with our environment. These are the results of the experience of successive generations which are handed down. And, once a more efficient tool is available, it will be used without our knowing why it is better, or even what the alternatives are.

These “tools” which man has evolved and which constitute such an important part of his adaptation to his environment include much more than material implements. They consist in a large measure of forms of conduct which he habitually follows without knowing why; they consist of what we call “traditions” and “institutions,” which he uses because they are available to him as a product of cumulative growth without ever having been designed by any one mind. Man is generally ignorant not only of why he uses implements of one shape rather than of another but also of how much is dependent on his actions taking one form rather than another. He does not usually know to what extent the success of his efforts is determined by his conforming to habits of which he is not even aware. This is probably as true of civilized man

as of primitive man. Concurrent with the growth of conscious knowledge there always takes place an equally important accumulation of tools in this wider sense, of tested and generally adopted ways of doing things.

Our concern at the moment is not so much with the knowledge thus handed down to us or with the formation of new tools that will be used in the future as it is with the manner in which current experience is utilized in assisting those who do not directly gain it. So far as it is possible to do so, we shall leave the progress in time for the next chapter and concentrate here on the manner in which that dispersed knowledge and the different skills, the varied habits and opportunities of the individual members of society, contribute toward bringing about the adjustment of its activities to ever changing circumstances.

Every change in conditions will make necessary some change in the use of resources, in the direction and kind of human activities, in habits and practices. And each change in the actions of those affected in the first instance will require further adjustments that will gradually extend throughout the whole of society. Thus every change in a sense creates a "problem" for society, even though no single individual perceives it as such; and it is gradually "solved" by the establishment of a new over-all adjustment. Those who take part in the process have little idea why they are doing what they do, and we have no way of predicting who will at each step first make the appropriate move, or what particular combinations of knowledge and skill, personal attitudes and circumstances, will suggest to some man the suitable answer, or by what channels his example will be transmitted to others who will follow the lead. It is difficult to conceive all the combinations of knowledge and skills which thus come into action and from which arises the discovery of appropriate practices or devices that, once found, can be accepted generally. But from the countless number of humble steps taken by anonymous persons in the course of doing familiar things in changed circumstances spring the examples that prevail. They are as important as the major intellectual innovations which are explicitly recognized and communicated as such.

Who will prove to possess the right combination of aptitudes and opportunities to find the better way is just as little predictable as by what manner or process different kinds of knowledge and skill will combine to bring about a solution of the problem.⁸ The successful combination of knowledge and aptitude is not selected by common deliberation, by people seeking a solution to

⁸Cf. Homer Garner Barnett, *Innovation: The Basis of Cultural Change* (New York: McGraw-Hill, 1953): "Every individual is an innovator many times over" (p. 19) and "There is a positive correlation between individualism and innovative potential. The greater the freedom of the individual to explore his world of experience and to organize its elements in accordance with his private interpretation of his sense impressions, the greater the likelihood of new ideas coming into being" (p. 65).

their problems through a joint effort;⁹ it is the product of individuals imitating those who have been more successful and from their being guided by signs or symbols, such as prices offered for their products or expressions of moral or aesthetic esteem for their having observed standards of conduct—in short, of their using the results of the experiences of others.

What is essential to the functioning of the process is that each individual be able to act on his particular knowledge, always unique, at least so far as it refers to some particular circumstances, and that he be able to use his individual skills and opportunities within the limits known to him and for his own individual purpose.

4. We have now reached the point at which the main contention of this chapter will be readily intelligible. It is that the case for individual freedom rests chiefly on the recognition of the inevitable ignorance of all of us concerning a great many of the factors on which the achievement of our ends and welfare depends.¹⁰

⁹Cf. Sir William Arthur Lewis, *The Theory of Economic Growth* (London: Allen and Unwin, 1955), p. 148: "These innovators are always a minority. New ideas are first put into practice by one or two or very few persons, whether they be new ideas in technology, or new forms of organization, new commodities, or other novelties. These ideas may be accepted rapidly by the rest of the population. More probably they are received with scepticism and unbelief, and make their way only very slowly at first if at all. After a while the new ideas are seen to be successful, and are then accepted by increasing numbers. Thus it is often said that change is the work of an elite, or that the amount of change depends on the quality of leadership in a community. This is true enough if it implies no more than that the majority of people are not innovators, but merely imitate what others do. It is, however, somewhat misleading if it is taken to imply that some specific class or group of people get all the new ideas." Also p. 172: "Collective judgement of new ideas is so often wrong that it is arguable that progress depends on individuals being free to back their own judgement despite collective disapproval. . . . To give a monopoly of decision to a government committee would seem to have the disadvantage of both worlds."

¹⁰One of the few authors who have seen clearly at least part of this was Frederic William Maitland, who stresses (*The Collected Papers of Frederic William Maitland, Downing Professor of the Laws of England* [3 vols.; Cambridge: Cambridge University Press, 1911], vol. 1, p. 107) that "the most powerful argument is that based on the ignorance, the necessary ignorance, of our rulers." [Maitland's quotation appears in *A Historical Sketch of Liberty and Equality*, Liberty Fund edition, p. 133.—Ed.] See, however, Bennett E. Kline and Norman H. Martin, "Freedom, Authority, and Decentralization," *Harvard Business Review*, 36 (1958), esp. 70: "the chief characteristic of the command hierarchy, or any group in our society, is not knowledge but ignorance. Consider that any one person can know only a fraction of what is going on around him. Much of what that person knows or believes will be false rather than true. . . . At any given time, vastly more is not known than is known, either by one person in a command chain or by all the organization. It seems possible, then, that in organizing ourselves into a hierarchy of authority for the purpose of increasing efficiency, we may really be institutionalizing ignorance. While making better use of what the few know, we are making sure that the great majority are prevented from exploring the dark areas beyond our knowledge." See also William Graham Sumner, "Speculative Legislation," *The Challenge of Facts and Other Papers* (New Haven: Yale University Press, 1914), p. 215: "It is characteristic of speculative legislation that it very generally produces the exact opposite of the result it was hoped to get

If there were omniscient men, if we could know not only all that affects the attainment of our present wishes but also our future wants and desires, there would be little case for liberty. And, in turn, liberty of the individual would, of course, make complete foresight impossible. Liberty is essential in order to leave room for the unforeseeable and unpredictable; we want it because we have learned to expect from it the opportunity of realizing many of our aims. It is because every individual knows so little and, in particular, because we rarely know which of us knows best that we trust the independent and competitive efforts of many to induce the emergence of what we shall want when we see it.

Humiliating to human pride as it may be, we must recognize that the advance and even the preservation of civilization are dependent upon a maximum of opportunity for accidents to happen.¹¹ These accidents occur in the combination of knowledge and attitudes, skills and habits, acquired by individual men and also when qualified men are confronted with the particular circumstances which they are equipped to deal with. Our necessary ignorance of so much means that we have to deal largely with probabilities and chances.

Of course, it is true of social as of individual life that favorable accidents usually do not just happen. We must prepare for them.¹² But they still remain chances and do not become certainties. They involve risks deliberately taken, the possible misfortune of individuals and groups who are as meritorious as others who prosper, the possibility of serious failure or relapse even for the majority, and merely a high probability of a net gain on balance. All we can do is to increase the chance that some special constellation of individual endowment and circumstance will result in the shaping of some new tool or the improvement of an old one, and to improve the prospect that such

from it. The reason is that the elements of any social problem which we do not know so far exceed those which we do know, that our solutions have a greater chance to be wrong than right."

There is one important respect in which the term "ignorance" is somewhat too narrow for our purposes. There are occasions when it would probably be better to speak of "uncertainty" with reference to ignorance concerning what is right, since it is doubtful whether we can meaningfully speak about something being right if nobody knows what is right in the particular context. The fact in such instances may be that the existing morals provide no answer to a problem, though there might be some answer which, if it were known and widely accepted, would be very valuable. I am much indebted to Mr. Pierre F. Goodrich, whose comment during a discussion helped to clarify this important point for me, though I have not been persuaded to speak generally of "imperfection" where I stress ignorance.

¹¹ Cf. John Archibald Wheeler, "A Septet of Sibyls: Aids in the Search for Truth," *American Scientist*, 44 (1956): 360: "Our whole problem is to make the mistakes as fast as possible."

¹² Cf. the remark of Louis Pasteur: "In research, chance only helps those whose minds are well prepared for it," quoted by René Taton, *Reason and Chance in Scientific Discovery* (London: Hutchinson, 1957), p. 91. [Pasteur appears to have originally made the statement in a lecture at the University of Lille on December 7, 1854. The original reads: "Dans les champs de l'observation le hasard ne favorise que les esprits préparés."—Ed.]

innovations will become rapidly known to those who can take advantage of them.

All political theories assume, of course, that most individuals are very ignorant. Those who plead for liberty differ from the rest in that they include among the ignorant themselves as well as the wisest. Compared with the totality of knowledge which is continually utilized in the evolution of a dynamic civilization, the difference between the knowledge that the wisest and that which the most ignorant individual can deliberately employ is comparatively insignificant.

The classical argument for tolerance formulated by John Milton and John Locke and restated by John Stuart Mill and Walter Bagehot rests, of course, on the recognition of this ignorance of ours. It is a special application of general considerations to which a non-rationalist insight into the working of our mind opens the doors. We shall find throughout this book that, though we are usually not aware of it, all institutions of freedom are adaptations to this fundamental fact of ignorance, adapted to deal with chances and probabilities, not certainty. Certainty we cannot achieve in human affairs, and it is for this reason that, to make the best use of what knowledge we have, we must adhere to rules which experience has shown to serve best on the whole, though we do not know what will be the consequences of obeying them in the particular instance.¹³

5. Man learns by the disappointment of expectations. Needless to say, we ought not to increase the unpredictability of events by foolish human institutions. So far as possible, our aim should be to improve human institutions so as to increase the chances of correct foresight. Above all, however, we should provide the maximum of opportunity for unknown individuals to learn of facts that we ourselves are yet unaware of and to make use of this knowledge in their actions.

It is through the mutually adjusted efforts of many people that more knowledge is utilized than any one individual possesses or than it is possible to synthesize intellectually; and it is through such utilization of dispersed knowledge that achievements are made possible greater than any single mind can foresee. It is because freedom means the renunciation of direct control of individual efforts that a free society can make use of so much more knowledge than the mind of the wisest ruler could comprehend.

¹³ Cf. Abba Ptachya Lerner, "The Backward-leaning Approach to Controls," *Journal of Political Economy*, 65 (1957): 441: "The free-trade doctrines are valid as *general rules* whose general use is generally beneficial. As with all general rules, there are particular cases where, if one knew all the attendant circumstances and the full effects in all their ramifications, it would be better for the rule not to be applied. But that does not make the rule a bad rule or give reason for not applying the rule where, as is normally the case, one does not know all the ramifications that would make the case a desirable exception."

From this foundation of the argument for liberty it follows that we shall not achieve its ends if we confine liberty to the particular instances where we know it will do good. Freedom granted only when it is known beforehand that its effects will be beneficial is not freedom. If we knew how freedom would be used, the case for it would largely disappear. We shall never get the benefits of freedom, never obtain those unforeseeable new developments for which it provides the opportunity, if it is not also granted where the uses made of it by some do not seem desirable. It is therefore no argument against individual freedom that it is frequently abused. Freedom necessarily means that many things will be done which we do not like. Our faith in freedom does not rest on the foreseeable results in particular circumstances but on the belief that it will, on balance, release more forces for the good than for the bad.

It also follows that the importance of our being free to do a particular thing has nothing to do with the question of whether we or the majority are ever likely to make use of that particular possibility. To grant no more freedom than all can exercise would be to misconceive its function completely. The freedom that will be used by only one man in a million may be more important to society and more beneficial to the majority than any freedom that we all use.¹⁴

It might even be said that the less likely the opportunity to make use of freedom to do a particular thing, the more precious it will be for society as a whole. The less likely the opportunity, the more serious will it be to miss it when it arises, for the experience that it offers will be nearly unique. It is also probably true that the majority are not directly interested in most of the important things that any one person should be free to do. It is because we do not know how individuals will use their freedom that it is so important. If it were otherwise, the results of freedom could also be achieved by the majority's deciding what should be done by the individuals. But majority action is, of necessity,

¹⁴ Cf. Rev. Hastings Rashdall, "The Philosophical Theory of Property," in *Property; Its Duties and Rights: Historically, Philosophically, and Religiously Regarded*, Charles Gore and Leonard Trelawney Hobhouse, eds. (new ed.; New York: Macmillan, 1915), pp. 61–62: "The plea for liberty is not sufficiently met by insisting, as has been so eloquently and humorously done by Mr. Lowes Dickinson (*Justice and Liberty: A Political Dialogue*, e.g. pp. 129 and 131), upon the absurdity of supposing that the propertyless labourer under the ordinary capitalistic regime enjoys any liberty of which Socialism would deprive him. For it may be of extreme importance that *some* should enjoy liberty—that it should be possible for some few men to be able to dispose of their time in their own way—although such liberty may be neither possible nor desirable for the great majority. That culture requires a considerable differentiation in social conditions is also a principle of unquestionable importance." [The full citation of the book quoted by Rashdall is: Goldsworthy Lowes Dickinson, *Justice and Liberty: A Political Dialogue* (London: J. M. Dent, 1908).—Ed.] See also Bennett E. Kline and Norman H. Martin, "Freedom, Authority, and Decentralization," p. 69: "If there is to be freedom for the few who *will* take advantage of it, freedom must be offered to the many. If any lesson is clear from history, it is this."

confined to the already tried and ascertained, to issues on which agreement has already been reached in that process of discussion that must be preceded by different experiences and actions on the part of different individuals.

The benefits I derive from freedom are thus largely the result of the uses of freedom by others, and mostly of those uses of freedom that I could never avail myself of. It is therefore not necessarily freedom that I can exercise myself that is most important for me. It is certainly more important that anything can be tried by somebody than that all can do the same things. It is not because we like to be able to do particular things, not because we regard any particular freedom as essential to our happiness, that we have a claim to freedom. The instinct that makes us revolt against any physical restraint, though a helpful ally, is not always a safe guide for justifying or delimiting freedom. What is important is not what freedom I personally would like to exercise but what freedom some person may need in order to do things beneficial to society. This freedom we can assure to the unknown person only by giving it to all.

The benefits of freedom are therefore not confined to the free—or, at least, a man does not benefit mainly from those aspects of freedom which he himself takes advantage of. There can be no doubt that in history unfree majorities have benefited from the existence of free minorities and that today unfree societies benefit from what they obtain and learn from free societies. Of course the benefits we derive from the freedom of others become greater as the number of those who can exercise freedom increases. The argument for the freedom of some therefore applies to the freedom of all. But it is still better for all that some should be free than none and also that many enjoy full freedom than that all have a restricted freedom. The significant point is that the importance of freedom to do a particular thing has nothing to do with the number of people who want to do it: it might almost be in inverse proportion. One consequence of this is that a society may be hamstrung by controls, although the great majority may not be aware that their freedom has been significantly curtailed. If we proceeded on the assumption that only the exercises of freedom that the majority will practice are important, we would be certain to create a stagnant society with all the characteristics of unfreedom.

6. The undesigned novelties that constantly emerge in the process of adaptation will consist, first, of new arrangements or patterns in which the efforts of different individuals are co-ordinated and of new constellations in the use of resources, which will be in their nature as temporary as the particular conditions that have evoked them. There will be, second, modifications of tools and institutions adapted to the new circumstances. Some of these will also be merely temporary adaptations to the conditions of the moment, while others will be improvements that increase the versatility of the existing tools and usages and will therefore be retained. These latter will constitute

a better adaptation not merely to the particular circumstances of time and place but to some permanent feature of our environment. In such spontaneous “formations”¹⁵ is embodied a perception of the general laws that govern nature. With this cumulative embodiment of experience in tools and forms of action will emerge a growth of explicit knowledge, of formulated generic rules that can be communicated by language from person to person.

This process by which the new emerges is best understood in the intellectual sphere when the results are new ideas. It is the field in which most of us are aware at least of some of the individual steps of the process, where we necessarily know what is happening and thus generally recognize the necessity of freedom. Most scientists realize that we cannot plan the advance of knowledge, that in the voyage into the unknown—which is what research is—we are in great measure dependent on the vagaries of individual genius and of circumstance, and that scientific advance, like a new idea that will spring up in a single mind, will be the result of a combination of conceptions, habits, and circumstances brought to one person by society, the result as much of lucky accidents as of systematic effort.

Because we are more aware that our advances in the intellectual sphere often spring from the unforeseen and undesigned, we tend to overstress the importance of freedom in this field and to ignore the importance of the freedom of *doing* things. But the freedom of research and belief and the freedom of speech and discussion, the importance of which is widely understood, are significant only in the last stage of the process in which new truths are discovered. To extol the value of intellectual liberty at the expense of the value of the liberty of doing things would be like treating the crowning part of an edifice as the whole. We have new ideas to discuss, different views to adjust, because those ideas and views arise from the efforts of individuals in ever new circumstances, who avail themselves in their concrete tasks of the new tools and forms of action they have learned.

The non-intellectual part of this process—the formation of the changed material environment in which the new emerges—requires for its understanding and appreciation a much greater effort of imagination than the fac-

¹⁵ For the use of the term “formation,” more appropriate in this connection than the usual “institution,” see my study on *The Counter-Revolution of Science: Studies on the Abuse of Reason* (Glencoe, IL: Free Press, 1952), p. 83. [*Collected Works* edition, vol. 13, p. 145.] [Hayek there writes of human institutions: “Though in a sense man-made, i.e., entirely the result of human actions, they may yet not be designed, not be the intended product of these actions. The term ‘institution’ itself is rather misleading in this respect, as it suggests something deliberately instituted. It would probably be better if this term were confined to particular contrivances, like particular laws and organizations, which have been created for a specific purpose, and if a more neutral term like ‘formations’ (in a sense similar to that in which the geologists use it, and corresponding to the German *Gebilde*) could be used for those phenomena, which, like money or language, have not been so created.”—Ed.]

tors stressed by the intellectualist view. While we are sometimes able to trace the intellectual processes that have led to a new idea, we can scarcely ever reconstruct the sequence and combination of those contributions that have not led to the acquisition of explicit knowledge; we can scarcely ever reconstruct the favorable habits and skills employed, the facilities and opportunities used, and the particular environment of the main actors that has favored the result. Our efforts toward understanding this part of the process can go little further than to show on simplified models the kind of forces at work and to point to the general principle rather than the specific character of the influences that operate.¹⁶ Men are always concerned only with what they know. Therefore, those features which, while the process is under way, are not consciously known to anybody are commonly disregarded and can perhaps never be traced in detail.

In fact, these unconscious features not only are commonly disregarded but are often treated as if they were a hindrance rather than a help or an essential condition. Because they are not "rational" in the sense of explicitly entering into our reasoning, they are often treated as irrational in the sense of being contrary to intelligent action. Yet, though much of the non-rational that affects our action may be irrational in this sense, many of the "mere habits" and "meaningless institutions" that we use and presuppose in our actions are essential conditions for what we achieve; they are successful adaptations of society that are constantly improved and on which depends the range of what we can achieve. While it is important to discover their defects, we could not for a moment go on without constantly relying on them.

The manner in which we have learned to order our day, to dress, to eat, to arrange our houses, to speak and write, and to use the countless other tools and implements of civilization, no less than the "know-how" of production and trade, furnishes us constantly with the foundations on which our own contributions to the process of civilization must be based. And it is in the new use and improvement of whatever the facilities of civilization offer us that the new ideas arise that are ultimately handled in the intellectual sphere. Though the conscious manipulation of abstract thought, once it has been set in train, has in some measure a life of its own, it would not long continue and develop without the constant challenges that arise from the ability of people to act in a new manner, to try new ways of doing things, and to alter the whole structure of civilization in adaptation to change. The intellectual process is in effect

¹⁶ Cf. my article "Degrees of Explanation," *British Journal for the Philosophy of Science*, 6 (1955): 209–25, reprinted in *Studies in Philosophy, Politics, and Economics* (Chicago: University of Chicago Press, 1967), pp. 3–21 [Also reprinted in *Studies in Philosophy, Politics, and Economics*, pp. 22–42.—Ed.], and my "The Theory of Complex Phenomena," in *The Critical Approach to Science and Philosophy: Essays in Honor of Karl R. Popper*, Mario Augusto Bunge, ed. (New York: Free Press of Glencoe, 1964), pp. 332–49.

only a process of elaboration, selection, and elimination of ideas already formed. And the flow of new ideas, to a great extent, springs from the sphere in which action, often non-rational action, and material events impinge upon each other. It would dry up if freedom were confined to the intellectual sphere.

The importance of freedom, therefore, does not depend on the elevated character of the activities it makes possible. Freedom of action, even in humble things, is as important as freedom of thought. It has become a common practice to disparage freedom of action by calling it “economic liberty.”¹⁷ But the concept of freedom of action is much wider than that of economic liberty, which it includes; and, what is more important, it is very questionable whether there are any actions which can be called merely “economic” and whether any restrictions on liberty can be confined to what are called merely “economic” aspects. Economic considerations are merely those by which we reconcile and adjust our different purposes, none of which, in the last resort, are economic (excepting those of the miser or the man for whom making money has become an end in itself).¹⁸

7. Most of what we have said so far applies not only to man’s use of the means for the achievement of his ends but also to those ends themselves. It is one of the characteristics of a free society that men’s goals are open,¹⁹ that new ends of conscious effort can spring up, first with a few individuals, to become in time the ends of most. It is a fact which we must recognize that even what we regard as good or beautiful is changeable—if not in any recognizable manner that would entitle us to take a relativistic position, then in the sense that in many respects we do not know what will appear as good or beautiful to another generation. Nor do we know why we regard this or that as good or who is right when people differ as to whether something is good or not. It is not only in his knowledge, but also in his aims and values, that man is the creature of civilization; in the last resort, it is the relevance of these individual wishes to the perpetuation of the group or the species that will determine whether they will persist or change. It is, of course, a mistake to believe that we can draw conclusions about what our values ought to be simply because we realize that they are a product of evolution. But we cannot

¹⁷ See Aaron Director, “The Parity of the Economic Market Place,” in *Conference on Freedom and the Law, May 7, 1953: Fiftieth Anniversary Celebration*, Thuman Welsey Arnold, et al. (University of Chicago Law School Conference Series, no. 13, Chicago: University of Chicago Press, 1953), pp. 16–25.

¹⁸ Cf. my book *The Road to Serfdom* (Chicago: University of Chicago Press, 1944), chap. 7, pp. 88–100; reprinted as vol. 2 of *The Collected Works of F. A. Hayek*, Bruce Caldwell, ed. (Chicago: University of Chicago Press, 2007), pp. 124–33.

¹⁹ See Sir Karl Raimund Popper, *The Open Society and Its Enemies* (American ed.; Princeton: Princeton University Press, 1950), esp. p. 195: “If we wish to remain human, there is only one way, the way into the open society. We must go into the unknown, the uncertain and insecure, using what reason we may have to plan for both, security *and* freedom.”

reasonably doubt that these values are created and altered by the same evolutionary forces that have produced our intelligence. All that we can know is that the ultimate decision about what is good or bad will be made not by individual human wisdom but by the decline of the groups that have adhered to the “wrong” beliefs.

It is in the pursuit of man’s aims of the moment that all the devices of civilization have to prove themselves; the ineffective will be discarded and the effective retained. But there is more to it than the fact that new ends constantly arise with the satisfaction of old needs and with the appearance of new opportunities. Which individuals and which groups succeed and continue to exist depends as much on the goals that they pursue, the values that govern their action, as on the tools and capacities at their command. Whether a group will prosper or be extinguished depends as much on the ethical code it obeys, or the ideals of beauty or well-being that guide it, as on the degree to which it has learned or not learned to satisfy its material needs. Within any given society, particular groups may rise or decline according to the ends they pursue and the standards of conduct that they observe. And the ends of the successful group will tend to become the ends of all members of the society.

At most, we understand only partially why the values we hold or the ethical rules we observe are conducive to the continued existence of our society. Nor can we be sure that under constantly changing conditions all the rules that have proved to be conducive to the attainment of a certain end will remain so. Though there is a presumption that any established social standard contributes in some manner to the preservation of civilization, our only way of confirming this is to ascertain whether it continues to prove itself in competition with other standards observed by other individuals or groups.

8. The competition on which the process of selection rests must be understood in the widest sense. It involves competition between organized and unorganized groups no less than competition between individuals. To think of it in contrast to cooperation or organization would be to misconceive its nature. The endeavor to achieve certain results by co-operation and organization is as much a part of competition as individual efforts. Successful group relations also prove their effectiveness in competition among groups organized in different ways. The relevant distinction is not between individual and group action but between conditions, on the one hand, in which alternative ways based on different views or practices may be tried and conditions, on the other, in which one agency has the exclusive right and the power to prevent others from trying. It is only when such exclusive rights are conferred on the presumption of superior knowledge of particular individuals or groups that the process ceases to be experimental and beliefs that happen to be prevalent at a given time may become an obstacle to the advancement of knowledge.

The argument for liberty is not an argument against organization, which is

one of the most powerful means that human reason can employ, but an argument against all exclusive, privileged, monopolistic organization, against the use of coercion to prevent others from trying to do better. Every organization is based on given knowledge; organization means commitment to a particular aim and to particular methods, but even organization designed to increase knowledge will be effective only insofar as the knowledge and beliefs on which its design rests are true. And if any facts contradict the beliefs on which the structure of the organization is based, this will become evident only in its failure and supersession by a different type of organization. Organization is therefore likely to be beneficial and effective so long as it is voluntary and is imbedded in a free sphere and will either have to adjust itself to circumstances not taken into account in its conception or fail. To turn the whole of society into a single organization built and directed according to a single plan would be to extinguish the very forces that shaped the individual human minds that planned it.

It is worth our while to consider for a moment what would happen if only what was agreed to be the best available knowledge were to be used in all action. If all attempts that seemed wasteful in the light of generally accepted knowledge were prohibited and only such questions asked, or such experiments tried, as seemed significant in the light of ruling opinion, mankind might well reach a point where its knowledge enabled it to predict the consequences of all conventional actions and to avoid all disappointment or failure. Man would then seem to have subjected his surroundings to his reason, for he would attempt only those things which were totally predictable in their results. We might conceive of a civilization coming to a standstill, not because the possibilities of further growth had been exhausted, but because man had succeeded in so completely subjecting all his actions and his immediate surroundings to his existing state of knowledge that there would be no occasion for new knowledge to appear.

9. The rationalist who desires to subject everything to human reason is thus faced with a real dilemma. The use of reason aims at control and predictability. But the process of the advance of reason rests on freedom and the unpredictability of human action. Those who extol the powers of human reason usually see only one side of that interaction of human thought and conduct in which reason is at the same time used and shaped. They do not see that, for advance to take place, the social process from which the growth of reason emerges must remain free from its control.

There can be little doubt that man owes some of his greatest successes in the past to the fact that he has *not* been able to control social life. His continued advance may well depend on his deliberately refraining from exercising controls which are now in his power. In the past, the spontaneous forces of growth, however much restricted, could usually still assert themselves against

the organized coercion of the state. With the technological means of control now at the disposal of government, it is not certain that such assertion is still possible; at any rate, it may soon become impossible. We are not far from the point where the deliberately organized forces of society may destroy those spontaneous forces which have made advance possible.